Chapter 7: Perfect Competition and Long-Run Industry Equilibrium

Principles of Microeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 7: Perfect Competition and Long-Run Industry Equilibrium, benchmarked to standard principles curriculum.

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1 Price-Taking Equilibrium

Competitive firms face a horizontal demand curve at market price $P = MR = AR$. The profit-maximizing condition is $P = MC(q^*)$.

2 Shutdown and Exit Rules

- **Short-Run Shutdown:** Produce if $P \geq \min AVC$; halt if $P < \min AVC$.
- **Long-Run Exit:** Remain in market if $P \geq \min ATC$; exit if $P < \min ATC$.

In long-run equilibrium, free entry and exit enforce zero economic profit: $P = MR = MC = \min ATC$.